



18 July 2013

Chief Executive Officer  
Nairobi Securities Exchange Ltd.  
Nation House, 2<sup>nd</sup> Floor  
P. O. Box 43633  
**NAIROBI**



Dear Sir,

**RE: HOUSING FINANCE UN-AUDITED GROUP RESULTS  
AS AT 30 JUNE 2013**

Please find enclosed a copy of our Group and Company un-audited results for the period ended 30 June 2013 for your information and retention.

The Board of Directors resolved to pay an interim dividend of Kshs. 0.75 per share to be paid on or about 30 August 2013 to shareholders on the register at the close of business on 02 August 2013.

Please acknowledge receipt on the attached copy of this letter.

Yours faithfully,

Sam Waweru  
**Finance & Administration Director**

Enc.

# HOUSING FINANCE

## UNAUDITED QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES

| I                             | STATEMENT OF FINANCIAL POSITION<br>AS AT 30 JUNE 2013           | Bank              |                   |                   |                   | Group Consolidated |                   |                   |
|-------------------------------|-----------------------------------------------------------------|-------------------|-------------------|-------------------|-------------------|--------------------|-------------------|-------------------|
|                               |                                                                 | 30.06.2012        | 31.12.2012        | 31.03.2013        | 30.06.2013        | 30.06.2012         | 31.12.2012        | 30.06.2013        |
|                               |                                                                 | Unaudited         | Audited           | Unaudited         | Unaudited         | Unaudited          | Audited           | Unaudited         |
|                               |                                                                 | (Ksh'000)         | (Ksh'000)         | (Ksh'000)         | (Ksh'000)         | (Ksh'000)          | (Ksh'000)         | (Ksh'000)         |
| <b>A. ASSETS</b>              |                                                                 |                   |                   |                   |                   |                    |                   |                   |
| 1                             | Cash balances (both local and foreign)                          | 116,413           | 139,376           | 106,894           | 136,479           | 116,413            | 139,376           | 136,479           |
| 2                             | Balances due from Central Bank of Kenya                         | -                 | 1,030,256         | 2,546,157         | 1,517,468         | -                  | 1,030,256         | 1,517,468         |
| 3                             | Kenya Government and other securities held for dealing purposes | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 4                             | Financial Assets at fair value through profit and loss          | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 5                             | Investment Securities:                                          | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
|                               | a) Held to Maturity:                                            | 389,122           | 401,644           | 413,125           | -                 | 389,122            | 401,644           | -                 |
|                               | a. Kenya Government securities                                  | 389,122           | 401,644           | 413,125           | -                 | 389,122            | 401,644           | -                 |
|                               | b. Other securities                                             | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
|                               | b) Available for sale:                                          | 52,000            | 381,972           | 405,534           | 408,911           | 52,000             | 381,972           | 408,911           |
|                               | a. Kenya Government securities                                  | -                 | 321,972           | 318,534           | 328,911           | -                  | 321,972           | 328,911           |
|                               | b. Other securities                                             | 52,000            | 60,000            | 87,000            | 80,000            | 52,000             | 60,000            | 80,000            |
| 6                             | Deposits and balances due from local banking institutions       | 6,601,748         | 6,662,401         | 5,446,180         | 6,913,835         | 6,601,748          | 6,662,414         | 6,913,957         |
| 7                             | Deposits and balances due from banking institutions abroad      | 33,466            | 18,271            | 12,503            | 9,131             | 33,466             | 18,271            | 9,131             |
| 8                             | Tax recoverable                                                 | 88,942            | 46,773            | -                 | 65,092            | 113,046            | 69,156            | 84,538            |
| 9                             | Loans and advances to customers (net)                           | 27,402,799        | 30,293,711        | 31,690,282        | 32,478,823        | 27,402,799         | 30,293,711        | 32,478,823        |
| 10                            | Balances due from banking institutions in the group             | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 11                            | Investments in associates                                       | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 12                            | Investments in subsidiary companies                             | 195,020           | 255,120           | 255,120           | 255,120           | -                  | -                 | -                 |
| 13                            | Investment in Joint ventures                                    | -                 | 86,700            | 86,700            | 86,700            | -                  | 86,700            | 86,700            |
| 14                            | Investment properties                                           | -                 | -                 | -                 | -                 | -                  | 442,055           | 699,762           |
| 15                            | Property and equipment                                          | 711,967           | 710,769           | 725,758           | 771,255           | 717,931            | 716,708           | 777,156           |
| 16                            | Prepaid operating lease rentals                                 | 41,018            | 40,787            | 40,672            | 40,556            | 47,650             | 47,329            | 47,006            |
| 17                            | Intangible assets                                               | 5,728             | 9,923             | 232,449           | 358,582           | 5,731              | 9,923             | 358,582           |
| 18                            | Deferred tax asset                                              | 81,877            | 220,193           | 220,193           | 220,193           | 81,949             | 272,637           | 272,637           |
| 19                            | Retirement benefit asset                                        | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 20                            | Other assets                                                    | 302,124           | 388,032           | 340,402           | 340,914           | 378,002            | 384,425           | 337,340           |
| 21                            | <b>TOTAL ASSETS</b>                                             | <b>36,022,224</b> | <b>40,685,928</b> | <b>42,521,969</b> | <b>43,603,059</b> | <b>35,939,857</b>  | <b>40,956,577</b> | <b>44,128,490</b> |
| <b>B. LIABILITIES</b>         |                                                                 |                   |                   |                   |                   |                    |                   |                   |
| 22                            | Balances due to Central Bank of Kenya                           | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 23                            | Customer deposits                                               | 21,996,936        | 22,968,209        | 24,622,101        | 25,909,941        | 21,962,367         | 22,937,649        | 25,847,515        |
| 24                            | Deposits and balances due to local banking institutions         | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 25                            | Deposits and balances due to foreign banking institutions       | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 26                            | Other money market deposits                                     | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 27                            | Borrowed funds                                                  | 8,716,137         | 11,915,467        | 11,977,905        | 11,682,254        | 8,716,137          | 12,097,359        | 12,029,530        |
| 28                            | Balances due to banking institutions in the group               | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 29                            | Tax payable                                                     | -                 | -                 | 34,250            | -                 | -                  | -                 | -                 |
| 30                            | Dividends payable                                               | 347,277           | 24,112            | 23,858            | 200,902           | 347,277            | 24,112            | 200,902           |
| 31                            | Deferred tax liability                                          | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 32                            | Retirement benefit liability                                    | -                 | -                 | -                 | -                 | -                  | -                 | -                 |
| 33                            | Other liabilities                                               | 256,099           | 632,322           | 501,983           | 576,137           | 272,933            | 760,212           | 830,818           |
| 34                            | <b>TOTAL LIABILITIES</b>                                        | <b>31,316,449</b> | <b>35,540,110</b> | <b>37,160,097</b> | <b>38,369,234</b> | <b>31,298,714</b>  | <b>35,819,332</b> | <b>38,908,765</b> |
| <b>C. SHAREHOLDERS' FUNDS</b> |                                                                 |                   |                   |                   |                   |                    |                   |                   |
| 35                            | Paid up /Assigned capital                                       | 1,152,125         | 1,153,000         | 1,153,000         | 1,153,000         | 1,152,125          | 1,153,000         | 1,153,000         |
| 36                            | Share premium/(discount)                                        | 1,551,298         | 1,552,173         | 1,552,173         | 1,552,173         | 1,551,298          | 1,552,173         | 1,552,173         |
| 37                            | Revaluation reserves                                            | 512,332           | 512,332           | 512,332           | 512,332           | 512,332            | 512,332           | 512,332           |
| 38                            | Retained earnings/Accumulated losses                            | 1,275,075         | 1,510,801         | 1,745,911         | 1,480,641         | 1,210,443          | 1,502,228         | 1,466,541         |
| 39                            | Statutory loan loss reserves                                    | 212,195           | 241,845           | 195,789           | 501,432           | 212,195            | 241,845           | 501,432           |
| 40                            | Other Reserves                                                  | (48,000)          | (36,503)          | (9,503)           | (16,503)          | (48,000)           | (36,503)          | (16,503)          |
| 41                            | Proposed dividends                                              | -                 | 161,420           | 161,420           | -                 | -                  | 161,420           | -                 |
| 42                            | Capital grants                                                  | 50,750            | 50,750            | 50,750            | 50,750            | 50,750             | 50,750            | 50,750            |
| 43                            | <b>TOTAL SHAREHOLDERS' FUNDS</b>                                | <b>4,705,775</b>  | <b>5,145,818</b>  | <b>5,361,872</b>  | <b>5,233,825</b>  | <b>4,641,143</b>   | <b>5,137,245</b>  | <b>5,219,725</b>  |
| 44                            | <b>TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS</b>                | <b>36,022,224</b> | <b>40,685,928</b> | <b>42,521,969</b> | <b>43,603,059</b> | <b>35,939,857</b>  | <b>40,956,577</b> | <b>44,128,490</b> |



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# HOUSING FINANCE

## UNAUDITED QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES



| II        | STATEMENT OF COMPREHENSIVE INCOME<br>FOR THE PERIOD ENDED 30 JUNE 2013         | Bank                   |                      |                        |                        | Group Consolidated     |                      |                        |
|-----------|--------------------------------------------------------------------------------|------------------------|----------------------|------------------------|------------------------|------------------------|----------------------|------------------------|
|           |                                                                                | 30.06.2012             | 31.12.2012           | 31.03.2013             | 30.06.2013             | 30.06.2012             | 31.12.2012           | 30.06.2013             |
|           |                                                                                | Unaudited<br>(Ksh'000) | Audited<br>(Ksh'000) | Unaudited<br>(Ksh'000) | Unaudited<br>(Ksh'000) | Unaudited<br>(Ksh'000) | Audited<br>(Ksh'000) | Unaudited<br>(Ksh'000) |
| <b>1</b>  | <b>INTEREST INCOME</b>                                                         |                        |                      |                        |                        |                        |                      |                        |
| 1.1       | Loans and advances                                                             | 1,966,806              | 4,288,484            | 1,218,130              | 2,483,027              | 1,966,806              | 4,288,484            | 2,483,027              |
| 1.2       | Government securities                                                          | 26,515                 | 63,185               | 24,257                 | 34,698                 | 26,515                 | 63,185               | 34,698                 |
| 1.3       | Deposits and placements with banking institutions                              | 390,584                | 717,146              | 115,814                | 261,767                | 390,584                | 717,146              | 261,767                |
| 1.4       | Other Interest Income                                                          | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
| 1.5       | <b>Total interest income</b>                                                   | <b>2,383,905</b>       | <b>5,068,815</b>     | <b>1,358,201</b>       | <b>2,779,492</b>       | <b>2,383,905</b>       | <b>5,068,815</b>     | <b>2,779,492</b>       |
| <b>2</b>  | <b>INTEREST EXPENSES</b>                                                       |                        |                      |                        |                        |                        |                      |                        |
| 2.1       | Customer deposits                                                              | 1,140,435              | 2,296,931            | 400,572                | 814,983                | 1,140,393              | 2,296,853            | 814,844                |
| 2.2       | Deposits and placement from banking institutions                               | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
| 2.3       | Other interest expenses                                                        | 369,762                | 821,927              | 292,513                | 582,380                | 369,762                | 821,927              | 582,380                |
| 2.4       | <b>Total interest expenses</b>                                                 | <b>1,510,197</b>       | <b>3,118,858</b>     | <b>693,085</b>         | <b>1,397,363</b>       | <b>1,510,155</b>       | <b>3,118,780</b>     | <b>1,397,224</b>       |
| <b>3</b>  | <b>NET INTEREST INCOME/(LOSS)</b>                                              | <b>873,708</b>         | <b>1,949,957</b>     | <b>665,116</b>         | <b>1,382,129</b>       | <b>873,750</b>         | <b>1,950,035</b>     | <b>1,382,268</b>       |
| <b>4</b>  | <b>OTHER OPERATING INCOME</b>                                                  |                        |                      |                        |                        |                        |                      |                        |
| 4.1       | Fees and commissions on loans and advances                                     | 67,630                 | 138,865              | 20,151                 | 51,309                 | 67,630                 | 138,865              | 51,309                 |
| 4.2       | Other fees and commissions                                                     | 30,284                 | 63,052               | 14,224                 | 25,690                 | 30,284                 | 72,019               | 45,740                 |
| 4.3       | Foreign exchange trading income/(Loss)                                         | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
| 4.4       | Dividend Income                                                                | 1,425                  | 1,425                | -                      | -                      | 1,425                  | 1,425                | -                      |
| 4.5       | Other income                                                                   | 47,099                 | 69,597               | 31,156                 | 50,368                 | 48,089                 | 71,578               | 51,358                 |
| 4.6       | <b>Total Non-interest income</b>                                               | <b>146,438</b>         | <b>272,939</b>       | <b>65,531</b>          | <b>127,367</b>         | <b>147,428</b>         | <b>283,887</b>       | <b>148,407</b>         |
| <b>5</b>  | <b>TOTAL OPERATING INCOME</b>                                                  | <b>1,020,146</b>       | <b>2,222,896</b>     | <b>730,647</b>         | <b>1,509,496</b>       | <b>1,021,178</b>       | <b>2,233,922</b>     | <b>1,530,675</b>       |
| <b>6</b>  | <b>OPERATING EXPENSES</b>                                                      |                        |                      |                        |                        |                        |                      |                        |
| 6.1       | Loan loss provision                                                            | 91,717                 | 197,766              | 58,632                 | 136,382                | 91,717                 | 197,766              | 136,382                |
| 6.2       | Staff costs                                                                    | 338,203                | 681,635              | 207,988                | 442,666                | 338,300                | 684,429              | 446,432                |
| 6.3       | Directors' emoluments                                                          | 9,587                  | 14,387               | 6,629                  | 13,000                 | 9,587                  | 14,387               | 13,000                 |
| 6.4       | Rental charges                                                                 | 9,250                  | 19,067               | 5,665                  | 10,758                 | 9,428                  | 20,037               | 12,463                 |
| 6.5       | Depreciation charge on property and equipment                                  | 30,050                 | 60,684               | 15,789                 | 31,502                 | 30,178                 | 60,941               | 31,632                 |
| 6.6       | Amortisation charges                                                           | 38                     | 2,779                | 2,109                  | 5,549                  | 43                     | 2,787                | 5,549                  |
| 6.7       | Other operating expenses                                                       | 183,941                | 344,577              | 163,758                | 294,428                | 184,344                | 345,944              | 311,097                |
| 6.8       | <b>Total Other Operating Expenses</b>                                          | <b>662,786</b>         | <b>1,320,895</b>     | <b>460,570</b>         | <b>934,285</b>         | <b>663,597</b>         | <b>1,326,291</b>     | <b>956,555</b>         |
| <b>7</b>  | <b>Profit/(loss) before tax and exceptional items</b>                          | <b>357,360</b>         | <b>902,001</b>       | <b>270,077</b>         | <b>575,211</b>         | <b>357,581</b>         | <b>907,631</b>       | <b>574,120</b>         |
| <b>8</b>  | <b>Exceptional items</b>                                                       | <b>-</b>               | <b>-</b>             | <b>-</b>               | <b>-</b>               | <b>-</b>               | <b>-</b>             | <b>-</b>               |
| <b>9</b>  | <b>Profit/(loss) after exceptional items</b>                                   | <b>357,360</b>         | <b>902,001</b>       | <b>270,077</b>         | <b>575,211</b>         | <b>357,581</b>         | <b>907,631</b>       | <b>574,120</b>         |
| <b>10</b> | <b>Current tax</b>                                                             | <b>(107,208)</b>       | <b>(353,264)</b>     | <b>(81,023)</b>        | <b>(172,563)</b>       | <b>(107,208)</b>       | <b>(354,985)</b>     | <b>(176,999)</b>       |
| <b>11</b> | <b>Deferred tax</b>                                                            | <b>-</b>               | <b>138,316</b>       | <b>-</b>               | <b>-</b>               | <b>-</b>               | <b>190,688</b>       | <b>-</b>               |
| <b>12</b> | <b>Profit/(loss) after tax and exceptional items</b>                           | <b>250,152</b>         | <b>687,053</b>       | <b>189,054</b>         | <b>402,648</b>         | <b>250,373</b>         | <b>743,334</b>       | <b>397,121</b>         |
| <b>13</b> | <b>Other Comprehensive Income</b>                                              |                        |                      |                        |                        |                        |                      |                        |
| 13.1      | Gains/(Losses) from translating the financial statements of foreign operations | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
| 13.2      | Fair value changes in available for sale financial assets                      | (4,000)                | (2,503)              | 27,000                 | 20,000                 | (4,000)                | (2,503)              | 20,000                 |
| 13.3      | Revaluation surplus on Property, plant and equipment                           | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
| 13.4      | Share of other comprehensive income of associates                              | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
| 13.5      | Income tax relating to components of other comprehensive income                | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
| <b>14</b> | <b>Other Comprehensive Income for the year net of tax</b>                      | <b>(4,000)</b>         | <b>(2,503)</b>       | <b>27,000</b>          | <b>20,000</b>          | <b>(4,000)</b>         | <b>(2,503)</b>       | <b>20,000</b>          |
| <b>15</b> | <b>Total comprehensive income for the year</b>                                 | <b>246,152</b>         | <b>684,550</b>       | <b>216,054</b>         | <b>422,648</b>         | <b>246,373</b>         | <b>740,831</b>       | <b>417,121</b>         |
|           | Earnings per share                                                             | 2.17                   | 2.98                 | 3.28                   | 3.49                   | 2.17                   | 3.22                 | 3.44                   |
|           | Dividend per share                                                             | 0.70                   | 1.40                 | -                      | 0.75                   | 0.70                   | 1.40                 | 0.75                   |


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**HOUSING FINANCE**  
UNAUDITED QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES

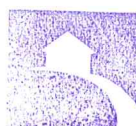


| III      | DISCLOSURES<br>AS AT 30 JUNE 2013                | Bank                   |                      |                        |                        | Group Consolidated     |                      |                        |
|----------|--------------------------------------------------|------------------------|----------------------|------------------------|------------------------|------------------------|----------------------|------------------------|
|          |                                                  | 30.06.2012             | 31.12.2012           | 31.03.2013             | 30.06.2013             | 30.06.2012             | 31.12.2012           | 30.06.2013             |
|          |                                                  | Unaudited<br>(Ksh'000) | Audited<br>(Ksh'000) | Unaudited<br>(Ksh'000) | Unaudited<br>(Ksh'000) | Unaudited<br>(Ksh'000) | Audited<br>(Ksh'000) | Unaudited<br>(Ksh'000) |
| <b>1</b> | <b>Non-Performing Loans and Advances</b>         |                        |                      |                        |                        |                        |                      |                        |
|          | a) Gross non-performing loans and advances       | 1,558,205              | 2,331,482            | 2,682,769              | 2,942,398              | 1,558,205              | 2,331,482            | 2,942,398              |
|          | b) Less: Interest in Suspense                    | 218,933                | 233,788              | 199,823                | 182,049                | 218,933                | 233,788              | 182,049                |
|          | c) Total non-Performing loans and advances (a-b) | 1,339,272              | 2,097,694            | 2,482,946              | 2,760,349              | 1,339,272              | 2,097,694            | 2,760,349              |
|          | d) Less: Loan loss provisions                    | 311,568                | 382,598              | 335,489                | 400,559                | 311,568                | 382,598              | 400,559                |
|          | e) Net non-performing loans and advances(c-d)    | 1,027,704              | 1,715,096            | 2,147,457              | 2,359,790              | 1,027,704              | 1,715,096            | 2,359,790              |
|          | f) Discounted value of securities                | 1,027,704              | 1,715,096            | 2,147,457              | 2,359,790              | 1,027,704              | 1,715,096            | 2,359,790              |
|          | g) Net Exposure(e-f)                             | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
| <b>2</b> | <b>Insider loans and advances</b>                |                        |                      |                        |                        |                        |                      |                        |
|          | a) Directors, shareholders and associates        | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
|          | b) Employees                                     | 718,110                | 798,657              | 813,187                | 887,940                | 718,110                | 798,657              | 887,940                |
|          | c) Total insider Loans and Advances              | 718,110                | 798,657              | 813,187                | 887,940                | 718,110                | 798,657              | 887,940                |
| <b>3</b> | <b>Off-Balance Sheet items</b>                   |                        |                      |                        |                        |                        |                      |                        |
|          | a) Letters of credit, guarantees and acceptances | 5,100                  | 13,819               | 17,179                 | 17,179                 | 5,100                  | 13,819               | 17,179                 |
|          | b) Other contingent liabilities                  | -                      | -                    | -                      | -                      | -                      | -                    | -                      |
|          | c) Total contingent liabilities                  | 5,100                  | 13,819               | 17,179                 | 17,179                 | 5,100                  | 13,819               | 17,179                 |
| <b>4</b> | <b>Capital Strength</b>                          |                        |                      |                        |                        |                        |                      |                        |
|          | a) Core capital                                  | 3,805,422              | 4,179,471            | 3,953,161              | 3,581,094              |                        |                      |                        |
|          | b) Minimum Statutory Capital                     | 700,000                | 1,000,000            | 1,000,000              | 1,000,000              |                        |                      |                        |
|          | c) Excess/Deficiency                             | 3,105,422              | 3,179,471            | 2,953,161              | 2,581,094              |                        |                      |                        |
|          | d) Supplementary capital                         | 2,185,067              | 2,268,942            | 2,129,857              | 2,136,819              |                        |                      |                        |
|          | e) Total capital (a+d)                           | 5,990,489              | 6,448,413            | 6,083,018              | 5,717,913              |                        |                      |                        |
|          | f) Total risk weighted assets                    | 19,249,646             | 21,847,824           | 26,983,635             | 27,253,592             |                        |                      |                        |
|          | g) Core capital /Total deposit liabilities       | 17.30%                 | 18.20%               | 16.06%                 | 13.82%                 |                        |                      |                        |
|          | h) Minimum Statutory Ratio                       | 8.00%                  | 8.00%                | 8.00%                  | 8.00%                  |                        |                      |                        |
|          | i) Excess/Deficiency                             | 9.30%                  | 10.20%               | 8.06%                  | 5.82%                  |                        |                      |                        |
|          | j) Core capital /Total risk weighted assets      | 19.77%                 | 19.13%               | 14.65%                 | 13.14%                 |                        |                      |                        |
|          | k) Minimum Statutory Ratio                       | 8.00%                  | 8.00%                | 8.00%                  | 8.00%                  |                        |                      |                        |
|          | l) Excess/Deficiency (j-k)                       | 11.77%                 | 11.13%               | 6.65%                  | 5.14%                  |                        |                      |                        |
|          | m) Total capital /Total risk weighted assets     | 31.12%                 | 29.52%               | 22.54%                 | 20.98%                 |                        |                      |                        |
|          | n) Minimum Statutory Ratio                       | 12.00%                 | 12.00%               | 12.00%                 | 12.00%                 |                        |                      |                        |
|          | o) Excess/Deficiency (m-n)                       | 19.12%                 | 17.52%               | 10.54%                 | 8.98%                  |                        |                      |                        |
| <b>5</b> | <b>Liquidity</b>                                 |                        |                      |                        |                        |                        |                      |                        |
|          | a) Liquidity Ratio                               | 31.40%                 | 36.80%               | 34.95%                 | 33.60%                 |                        |                      |                        |
|          | b) Minimum Statutory Ratio                       | 20.00%                 | 20.00%               | 20.00%                 | 20.00%                 |                        |                      |                        |
|          | c) Excess(Deficiency) (a-b)                      | 11.40%                 | 16.80%               | 14.95%                 | 13.60%                 |                        |                      |                        |

These financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institutions website [www.housing.co.ke](http://www.housing.co.ke). They may also be accessed at the institutions head office located at Rehani House, Kenyatta Avenue/Koinange Street, Nairobi

Signed.....  
CHIEF EXECUTIVE OFFICER

Signed.....  
DIRECTOR



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**Housing Finance Company of Kenya Limited**  
**UNAUDITED CASH FLOW STATEMENT**  
**FOR THE PERIOD ENDED 30 JUNE 2013**

|                                                             | Unaudited<br>30.06.2013<br>KShs'000 | Audited<br>31.12.2012<br>KShs'000 |
|-------------------------------------------------------------|-------------------------------------|-----------------------------------|
| <b>Net flows from operating activities</b>                  | 1,328,840                           | 3,231,297                         |
| <b>Investing Activities</b>                                 |                                     |                                   |
| Purchase of equipment                                       | ( 19,398)                           | (65,105)                          |
| Investment in Joint venture                                 | -                                   | (86,700)                          |
| Capital WIP                                                 | ( 27,960)                           | (10,125)                          |
| Proceeds from sale of equipments                            | 4,025                               | 912                               |
| Additions to Intangible Assets                              | ( 400,939)                          | (10,131)                          |
| <b>Net cash inflow/ (outflow) from investing activities</b> | <u>( 444,272)</u>                   | <u>(171,150)</u>                  |
| <b>Financing Activities</b>                                 |                                     |                                   |
| Employee share ownership                                    | -                                   | 1,750                             |
| Dividend paid                                               | ( 157,850)                          | ( 319,796)                        |
| <b>Net cash inflow from financing activities</b>            | <u>( 157,850)</u>                   | <u>( 318,046)</u>                 |
| <b>Net (decrease)/Increase in cash and cash equivalents</b> | <u><u>726,717</u></u>               | <u><u>2,742,100</u></u>           |

**Housing Finance Company of Kenya Limited**  
**Un-Audited Consolidated Statement of Changes in Equity**

FOR THE PERIOD ENDED 30 JUNE 2013

|                                                        | Share capital<br>KShs'000 | Revaluation<br>reserve<br>KShs'000 | Share premium<br>KShs'000 | Proposed<br>dividends<br>KShs'000 | Statutory<br>Reserve<br>KShs'000 | Retained<br>profits<br>KShs'000 | Total<br>KShs'000 |
|--------------------------------------------------------|---------------------------|------------------------------------|---------------------------|-----------------------------------|----------------------------------|---------------------------------|-------------------|
| At 31 Dec 2011                                         | 1,152,125                 | 512,331                            | 1,551,298                 | 161,298                           | 336,713                          | 952,849                         | 4,666,615         |
| <b>Total Comprehensive Income</b>                      |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>for the period</b>                                  |                           |                                    |                           |                                   |                                  |                                 |                   |
| Net Profit after taxation                              | -                         | -                                  | -                         | -                                 | -                                | 743,334                         | 743,334           |
| Revaluation surplus                                    | -                         | -                                  | -                         | -                                 | -                                | -                               | -                 |
| Change in fair value of Available for Sale investments | -                         | -                                  | -                         | -                                 | -                                | (2,504)                         | (2,504)           |
| Transfer to Statutory Reserve                          | -                         | -                                  | -                         | -                                 | (94,869)                         | 94,869                          | -                 |
| <b>Total Comprehensive Income</b>                      | -                         | -                                  | -                         | -                                 | (94,869)                         | 835,699                         | 740,830           |
| <b>Transaction with owners,</b>                        |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>recorded directly in equity</b>                     |                           |                                    |                           |                                   |                                  |                                 |                   |
| Employee share ownership                               | 875                       | -                                  | 875                       | -                                 | -                                | -                               | 1,750             |
| Dividend Paid                                          | -                         | -                                  | -                         | (161,298)                         | -                                | -                               | (161,298)         |
| Interim Dividend - 2012                                | -                         | -                                  | -                         | -                                 | -                                | (161,403)                       | (161,403)         |
| Proposed Dividend - 2012                               | -                         | -                                  | -                         | 161,420                           | -                                | (161,420)                       | -                 |
| <b>Total Transaction with owners,</b>                  |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>recorded directly in equity</b>                     | 875                       | -                                  | 875                       | 122                               | -                                | (322,823)                       | (320,951)         |
| <b>At 31 December 2012</b>                             | <b>1,153,000</b>          | <b>512,331</b>                     | <b>1,552,173</b>          | <b>161,420</b>                    | <b>241,844</b>                   | <b>1,465,726</b>                | <b>5,086,494</b>  |
| <b>Total Comprehensive Income</b>                      |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>for the period</b>                                  |                           |                                    |                           |                                   |                                  |                                 |                   |
| Net Profit after taxation                              | -                         | -                                  | -                         | -                                 | -                                | 397,120                         | 397,120           |
| Revaluation surplus                                    | -                         | -                                  | -                         | -                                 | -                                | -                               | -                 |
| Change in fair value of Available for Sale investments | -                         | -                                  | -                         | -                                 | -                                | 20,000                          | 20,000            |
| Transfer to Statutory Reserve                          | -                         | -                                  | -                         | -                                 | 259,587                          | (259,587)                       | -                 |
| <b>Total Comprehensive Income</b>                      | -                         | -                                  | -                         | -                                 | 259,587                          | 157,533                         | 417,120           |
| <b>Transaction with owners,</b>                        |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>recorded directly in equity</b>                     |                           |                                    |                           |                                   |                                  |                                 |                   |
| Employee share ownership                               | -                         | -                                  | -                         | -                                 | -                                | -                               | -                 |
| Dividend Paid                                          | -                         | -                                  | -                         | (161,420)                         | -                                | -                               | (161,420)         |
| Interim Dividend - 2013                                | -                         | -                                  | -                         | -                                 | -                                | (173,220)                       | (173,220)         |
| Proposed Dividend - 2013                               | -                         | -                                  | -                         | -                                 | -                                | -                               | -                 |
| <b>Total Transaction with owners,</b>                  |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>recorded directly in equity</b>                     | -                         | -                                  | -                         | (161,420)                         | -                                | (173,220)                       | (334,640)         |
| <b>At 30 June 2013</b>                                 | <b>1,153,000</b>          | <b>512,331</b>                     | <b>1,552,173</b>          | <b>-</b>                          | <b>501,432</b>                   | <b>1,450,039</b>                | <b>5,168,975</b>  |

**Company Statement of Changes in Equity**

FOR THE PERIOD ENDED 30 JUNE 2013

|                                            | Share capital<br>KShs'000 | Revaluation<br>reserve<br>KShs'000 | Share premium<br>KShs'000 | Proposed<br>dividends<br>KShs'000 | Statutory<br>Reserve<br>KShs'000 | Retained<br>profits<br>KShs'000 | Total<br>KShs'000 |
|--------------------------------------------|---------------------------|------------------------------------|---------------------------|-----------------------------------|----------------------------------|---------------------------------|-------------------|
| At 31 Dec 2011                             | 1,152,125                 | 512,331                            | 1,551,298                 | 161,298                           | 336,713                          | 1,017,703                       | 4,731,469         |
| <b>Total Comprehensive Income</b>          |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>for the period</b>                      |                           |                                    |                           |                                   |                                  |                                 |                   |
| Net Profit after taxation                  | -                         | -                                  | -                         | -                                 | -                                | 687,052                         | 687,052           |
| Transfer to Statutory Reserve              | -                         | -                                  | -                         | -                                 | (94,869)                         | 94,869                          | -                 |
| Change in fair value of equity investments | -                         | -                                  | -                         | -                                 | -                                | (2,504)                         | (2,504)           |
| Revaluation surplus                        | -                         | -                                  | -                         | -                                 | -                                | -                               | -                 |
| <b>Total Comprehensive Income</b>          | -                         | -                                  | -                         | -                                 | (94,869)                         | 779,418                         | 684,549           |
| <b>Transaction with owners,</b>            |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>recorded directly in equity</b>         |                           |                                    |                           |                                   |                                  |                                 |                   |
| Employee share ownership                   | 875                       | -                                  | 875                       | -                                 | -                                | -                               | 1,750             |
| Dividend Paid                              | -                         | -                                  | -                         | (161,298)                         | -                                | -                               | (161,298)         |
| Interim Dividend - 2012                    | -                         | -                                  | -                         | -                                 | -                                | (161,403)                       | (161,403)         |
| Proposed Dividend - 2012                   | -                         | -                                  | -                         | 161,420                           | -                                | (161,420)                       | -                 |
| <b>Total Transaction with owners,</b>      |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>recorded directly in equity</b>         | 875                       | -                                  | 875                       | 122                               | -                                | (322,823)                       | (320,951)         |
| <b>At 31 December 2012</b>                 | <b>1,153,000</b>          | <b>512,331</b>                     | <b>1,552,173</b>          | <b>161,420</b>                    | <b>241,844</b>                   | <b>1,474,298</b>                | <b>5,095,067</b>  |
| <b>Total Comprehensive Income</b>          |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>for the period</b>                      |                           |                                    |                           |                                   |                                  |                                 |                   |
| Net Profit after taxation                  | -                         | -                                  | -                         | -                                 | -                                | 402,648                         | 402,648           |
| Transfer to Statutory Reserve              | -                         | -                                  | -                         | -                                 | 259,587                          | (259,587)                       | -                 |
| Change in fair value of equity investments | -                         | -                                  | -                         | -                                 | -                                | 20,000                          | 20,000            |
| Revaluation surplus                        | -                         | -                                  | -                         | -                                 | -                                | -                               | -                 |
| <b>Total Comprehensive Income</b>          | -                         | -                                  | -                         | -                                 | 259,587                          | 163,060                         | 422,648           |
| <b>Transaction with owners,</b>            |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>recorded directly in equity</b>         |                           |                                    |                           |                                   |                                  |                                 |                   |
| Employee share ownership                   | -                         | -                                  | -                         | -                                 | -                                | -                               | -                 |
| Dividend Paid                              | -                         | -                                  | -                         | (161,420)                         | -                                | -                               | (161,420)         |
| Interim Dividend - 2013                    | -                         | -                                  | -                         | -                                 | -                                | (173,220)                       | (173,220)         |
| Proposed Dividend - 2013                   | -                         | -                                  | -                         | -                                 | -                                | -                               | -                 |
| <b>Total Transaction with owners,</b>      |                           |                                    |                           |                                   |                                  |                                 |                   |
| <b>recorded directly in equity</b>         | -                         | -                                  | -                         | (161,420)                         | -                                | (173,220)                       | (334,640)         |
| <b>At 30 June 2013</b>                     | <b>1,153,000</b>          | <b>512,331</b>                     | <b>1,552,173</b>          | <b>-</b>                          | <b>501,432</b>                   | <b>1,464,138</b>                | <b>5,183,075</b>  |